

Tax-efficient retirement income

Are you planning for a tax-efficient retirement?

Adjusting how you save today can help lead to greater tax savings in the future.



When we retire, many of us will have put aside a set amount of **retirement savings** that will have to last us the rest of our lives.



Fortunately, most of us will also have **Social Security** benefits as an inflation-adjusted income stream to supplement those savings.



Some of us may also have a **pension**, although that number of workers is shrinking.

Research shows that minimizing one's tax bill can add years to retirement portfolio longevity.¹

How do we do that?

We can take steps as we accumulate retirement savings, as well as when we start spending our savings, to reduce the bite of taxes. It all starts with understanding how the various sources of retirement income are taxed.

• Not a deposit • Not FDIC or NCUSIF insured • Not guaranteed by the institution • Not insured by any federal government agency • May lose value

¹ "Tax-Efficient Withdrawal Strategies," Roger A. Young, T. Rowe Price Insights On Retirement (February 2020).

Minimize taxes with tax diversification

A tax diversification strategy can help you in retirement by providing flexibility in how you draw income. You may reap considerable tax savings by avoiding income sources with higher tax rates.

Income sources fall into 3 buckets:

Taxable

Taxable accounts are taxed on distributed dividends or interest, which is why you might get a 1099-INT tax form for the interest earned on a savings account. That interest is taxable in the year it is accrued. The other way an account is considered taxable is when a capital gain is realized, such as when you sell a stock at a profit. That gain is also taxable in the year it is realized.

- **Investments (stocks, most bonds, CDs)**
- **Cash accounts (savings and money market)**
- **Profit from selling a primary home**

Tax-deferred

Tax-deferred accounts are funded with pretax deductions from your paycheck. These accounts accumulate over time, often also growing through investment. The money is used for income later in life, usually after wages have stopped. Taxation is deferred until you withdraw.

- **Pension**
- **Retirement savings**
 - 401(k)
 - 403(b)
 - 457(b)
- **Traditional IRAs**
- **Some nonqualified annuities**
- **Trump accounts**

Tax-exempt

Tax-exempt accounts are often funded with income that has already been taxed, so it will not be taxed when you withdraw it. (An exception is a health savings account, or HSA, which is funded with pretax dollars.)

- **Retirement savings**
 - Roth 401(k)
 - Roth 457(b)
 - Roth IRA
- **Cash value life insurance**
- **Certain municipal bonds**
- **Health reimbursement arrangement (HRA)**
- **Health savings account (HSA)**
- **529 accounts**



Do you have assets in all 3 of these buckets?

Having tax-diverse savings can give you added flexibility to minimize your annual tax bill in retirement.

Taxable accounts

When sold, investments may generate short- or long-term capital gains.

Short-term capital gains are gains on the sale of an investment purchased less than 12 months prior to the sale. They are taxed as ordinary income.

Long-term capital gains have their own tax brackets and are based on the profitable sale of an investment held for 1 year or longer.

What counts as long-term capital gains:

- Gains from the sale of stocks or mutual funds
- Qualified dividend income from stocks
- Gains from the sale of a business
- Gains from the sale of real estate
 - Note that capital gains generated from the sale of your primary residence (up to \$250,000 for single filers and \$500,000 for a married couple filing jointly) may be exempt from capital gains taxes.

2026 long-term capital gains (LTCG) tax

Filing status	Total taxable income ²	LTCG tax rate
Individual	\$0 - \$49,450	0%
	\$49,451 - \$545,500	15%
	\$545,501 or more	20%
Married filing jointly	\$0 - \$98,900	0%
	\$98,901 - \$613,700	15%
	\$613,701 or more	20%
Head of household	\$0 - \$66,200	0%
	\$66,201 - \$579,600	15%
	\$579,601 or more	20%

Generally not taxable

Cost basis:

When you sell an investment, you'll get taxed on your investment gains, but not on the amount you used to purchase the investment (the cost basis).

Withdrawals from savings accounts and CDs:

The amount you invested is not taxable income. Neither is any interest on which you have already paid taxes.

Investment in a nonqualified annuity:

The return of your investment in a nonqualified annuity is not taxable income. However, the gains must be taxed before you get to withdraw your investment.

When a nonqualified annuity is annuitized³ and turned into a stream of income, each payment is considered partially a return of investment and partially gains.

² Your tax rate on long-term capital gains may be based on both your investment gain(s) and your ordinary income. Please consult a tax advisor for details.

³ Annuitization is the process of converting your annuity contract into a guaranteed stream of income. This allows you to start receiving money from your annuity through recurring income payments over a specified period of time or for the rest of your life. Please note that all guarantees are subject to the claims-paying ability of the issuing insurance company.

Tax-deferred accounts

Distributions from tax-deferred accounts are taxed as ordinary income.

These all count as ordinary income:

- Wages
- Interest income from savings and CDs
- Income payments from taxable bonds
- Short-term capital gains
- Pensions
- Up to 85% of Social Security benefits
- Distributions from tax-deferred retirement accounts

2026 marginal tax brackets on ordinary income

Rate	Single filer taxable income	Married filing jointly taxable income
10%	\$0 - \$12,400	\$0 - \$24,800
12%	\$12,401 - \$50,400	\$24,801 - \$100,800
22%	\$50,401 - \$105,700	\$100,801 - \$211,400
24%	\$105,701 - \$201,775	\$211,401 - \$403,550
32%	\$201,776 - \$256,225	\$403,551 - \$512,450
35%	\$256,226 - \$640,600	\$512,451 - \$768,700
37%	\$640,601 or more	\$768,701 or more
	Standard deduction: \$16,100 If age 65+: \$18,150	Standard deduction per couple: \$32,200 If both age 65+: \$35,500
	Temporary senior deduction If age 65+: \$6,000 Through 2028, subject to income phase-outs	Temporary senior deduction If both age 65+: \$12,000 Through 2028, subject to income phase-outs

Temporary senior deduction

A temporary new deduction is created for individuals who are age 65 or over, regardless of whether they itemize. Individuals with modified AGI up to \$175,000 and joint filers with modified AGI up to \$250,000 may take an additional deduction of up to \$6,000 annually (per person) through 2028.

Tax-exempt accounts

Distributions from tax-exempt accounts are generally not taxable. These include:

Qualified distributions from Roth accounts:

To be qualified, the withdrawal must be taken after you have attained age 59½, and you must have held the account for at least 5 years.

Loans and withdrawals from a cash value life insurance policy:

Loan amounts are not taxable. Withdrawals made from your investment in the contract (the cost basis) are not taxable. But if you exhaust the basis and withdraw gains on the policy, that may be considered ordinary income.

- Note that if your life insurance policy is considered a modified endowment contract (MEC), gains will have to be taxed before you receive your cost basis.



Diverse retirement income sources may help you pay less tax



In 2026, two couples (both over age 65) decide to take their grandkids to the Grand Canyon.



For each couple, the trip will cost

\$10,000



But before they go, both couples need to pay contractors for home renovations. To cover this one-time expense, each couple needs another

\$10,000

So each couple needs

\$20,000

on top of their usual retirement income.

Let's assume each couple normally draws \$100,000 of retirement income per year, so they'll need a total of

\$120,000

(Continued on next page)

As a reminder, each couple needs a total of

\$120,000



Couple 1 decides to take the extra \$20,000 out of the same account as the \$100,000 for their retirement income — that is, their tax-deferred 401(k).

After their standard deduction of \$35,500 + **temporary senior deduction of \$12,000**, **\$72,500 will be taxed.**

Tax rate	Taxable income	Amount taxed	Tax due
10%	\$0 – \$24,800	\$24,800	\$2,480
12%	\$24,800 – \$72,500	\$47,700	\$5,724
			Total: \$8,204

Tax calculations in highest bracket:
 $\$72,500 - \$24,800 = \$47,700 \times 12\% = \$5,724$



Couple 2 has some account diversity, including a savings account and a Roth IRA. They withdraw \$10,000 tax free from the Roth and another \$10,000 from savings for the renovations.

They withdraw only \$100,000 from their tax-deferred account, **of which \$52,500 will be taxed.**

Tax rate	Taxable income	Amount taxed	Tax due
10%	\$0 – \$24,800	\$24,800	\$2,480
12%	\$24,800 – \$52,500	\$27,700	\$3,324
			Total: \$5,804

Tax calculations in highest bracket:
 $\$52,500 - \$24,800 = \$27,700 \times 12\% = \$3,324$

Couple 1 owes \$8,204 in tax, whereas Couple 2 owes \$5,804.

**Couple 2 will pay
\$2,400 less in tax.**

For expenses such as these, it was helpful that they had the option of making tax-free withdrawals.



Having tax-diverse accounts could help you cope with an unexpected expense without triggering a bump in taxes.

Retirement savings worksheet

Use this worksheet to list your retirement savings and investments.

It may reveal where there are opportunities to diversify your asset location.

Taxable accounts

Savings/money market _____

Certificates of deposit _____

Traditional brokerage _____

TOTAL: _____

Taxable accounts
percentage of total
retirement savings:

Tax-deferred accounts

Traditional 401(k)/403(b)/457(b) _____

Traditional IRA _____

Pensions (current cash value) _____

Nonqualified deferred comp _____

Nonqualified annuities⁴ _____

TOTAL: _____

Tax-deferred accounts
percentage of total
retirement savings:

Tax-exempt accounts

Roth 401(k)/403(b)/457(b) _____

Roth IRA _____

Health savings accounts _____

Life insurance cash value⁵ _____

TOTAL: _____

Tax-exempt accounts
percentage of total
retirement savings:

TOTAL RETIREMENT SAVINGS: _____



Share this sheet with your financial professional,
who can help you take any needed steps to adjust
your balance of retirement income sources.

⁴ Note that nonqualified annuities are funded with after-tax dollars. Refer to Page 4 of this brochure for more details.

⁵ Investment growth in life insurance contracts is taxable after the return of investment. Refer to Page 4 of this brochure for more details.



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